

NATIONAL BANKING AUTHORITY
NBA/DOR/2026-27/121
December 22, 2026

National Banking Authority (Credit and Debit Card Issuance and
Conduct) Directions, 2026

Chapter I — Preliminary

1. Short Title and Commencement: These Directions shall be called the National Banking Authority (Credit and Debit Card Issuance and Conduct) Directions, 2026, and shall come into force with effect from February 1, 2027.
2. Applicability: These Directions apply to every regulated entity issuing credit or debit cards to individual or business customers.
3. Definitions
 - (i) 'Most Important Terms and Conditions (MITC)' means a summary document disclosing key fees, charges, and interest rates applicable to a card.
 - (ii) 'Unauthorized Transaction' means a transaction carried out on a cardholder's account without the cardholder's consent or knowledge.
 - (iii) 'Billing Cycle' means the period between two consecutive statement dates for a card account.
 - (iv) 'Chargeback' means the reversal of a card transaction initiated by the issuing bank on behalf of the cardholder following a valid dispute.
 - (v) 'Co-Branded Card' means a card issued jointly by a regulated entity and a non-bank commercial partner, bearing both parties' branding.
 - (vi) 'Minimum Amount Due' means the minimum payment a cardholder must make by the due date to avoid being classified as delinquent.
 - (vii) 'Over-Limit Transaction' means a transaction that causes the cardholder's outstanding balance to exceed their approved credit limit.

Chapter II — Issuance and Eligibility

4. No regulated entity shall issue a credit card to a customer without their explicit consent, and unsolicited issuance of credit cards is strictly prohibited.
5. Regulated entities shall assess the creditworthiness of an applicant, including verification of income, prior to sanctioning a credit card, and shall not rely solely on a third-party credit score without independent review.
6. The regulated entity shall clearly disclose all applicable fees, interest rates, and charges to the cardholder at the time of issuance, in a Most Important Terms and Conditions (MITC) document, as summarized in Annexure I.

Fee Type	Disclosure Requirement	Notice Period for Revision
Annual/Joining Fee	Disclosed at issuance in MITC	30 days
Late Payment Fee	Disclosed at issuance in MITC	30 days
Interest Rate (APR)	Disclosed at issuance and on every statement	30 days
Foreign Transaction Markup	Disclosed at issuance in MITC	30 days
Cash Advance Fee	Disclosed at issuance in MITC	30 days

Chapter III — Billing and Grievance Redressal

7. Billing statements shall be issued to cardholders at least once per billing cycle, and shall clearly itemize all transactions, fees, and interest charges.

8. In the event of a billing dispute raised by the cardholder, the regulated entity shall resolve the dispute within 30 days of receipt of the complaint, failing which the disputed amount shall be reversed pending resolution.

9. Regulated entities shall not levy any charge that was not explicitly disclosed to the cardholder at the time of issuance or in a subsequent notice period of at least 30 days prior to the change taking effect.

10. Regulated entities shall designate a nodal officer for grievance redressal and shall display the officer's contact details on the entity's website and billing statements.

Chapter IV — Unauthorized Transactions and Liability

11. Cardholder liability for unauthorized transactions shall be determined in accordance with the matrix set out in Annexure II.

Scenario	Reporting Window	Cardholder Liability
Third-party breach, no fault of bank or customer	Within 3 working days	Zero liability
Reported after 3 but within 7 working days	4-7 working days	Liability limited to transaction value or ₹10,000, whichever is lower
Reported after 7 working days	Beyond 7 working days	Full liability as per Board-approved policy
Negligence attributable to cardholder (e.g., shared OTP/PIN)	Any time	Full liability

12. Regulated entities shall provide 24x7 access to a channel (phone banking, SMS, e-mail, or mobile application) for reporting unauthorized transactions or loss of the card.

13. Upon receipt of a report of an unauthorized transaction, the regulated entity shall credit (shadow reversal) the disputed amount within 10 working days, pending final investigation, provided the customer notified the entity within three working days of the unauthorized transaction.

Explanation: For the purposes of clause 11, 'negligence' includes sharing OTP or PIN voluntarily, writing the PIN on the card, or continuing to use a card after receiving a suspicious activity alert without reporting it.

Explanation: For the purposes of clause 13, if the final investigation concludes the transaction was not unauthorized, the regulated entity may reverse the shadow credit with seven days' prior written notice to the cardholder.

Chapter V — Board and Senior Management Responsibilities

14. The Board of Directors shall approve a Board-level Card Issuance and Conduct Policy, covering eligibility criteria, fee structures, and grievance redressal timelines.

15. Regulated entities shall constitute a Customer Service Committee at the Board level to review card-related complaint trends on a quarterly basis.

16. Senior management shall ensure that card marketing and sales practices, including those of third-party sales agents, comply with the disclosure requirements under Chapter II.

Chapter VI — Transitional Provisions

17. Existing cardholder agreements shall be updated to reflect the liability matrix under Annexure II within six months of the commencement date.

18. Guidance notes issued by the Authority on card issuance and conduct prior to these Directions stand repealed with effect from the commencement date.

Chapter VII — Record Keeping and Penalties

19. Records of card issuance, billing disputes, and unauthorized transaction claims shall be maintained for a minimum of five years.

20. Failure to resolve a billing dispute within the prescribed timeline shall attract a monetary penalty and mandatory reporting to the Authority on a quarterly basis.

(P. Iyer)
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